# HD Hyundai Electric (267260 KS)

## Big Tech demand drives further capacity expansion

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**BUY (M)**

| | |
|---|---|
| Target price | W940,000 (Down) |
| Previous target price | W1,165,000 |
| Current price (Oct 27) | W450,000 |
| Upside potential | 109% |

| | |
|---|---|
| Market cap (Wbn) | 16,221 |
| Shares outstanding | 36,047,135 |
| Avg daily T/O (2M, Wbn) | 98 |
| Avg daily volume (2M, shrs) | 148,139 |
| 52-week high/low (won) | 1,420,000 / 447,000 |
| Foreign ownership (%) | 33.52% |
| Dividend yield (%) | 0.92% |
| Major shareholders | HD Hyundai & others |

**Stock performance**

| (%) | 1M | 3M | 12M |
|---|---|---|---|
| Absolute | (36.4) | (43.5) | (45.1) |
| Relative | (20.2) | (32.3) | (60.7) |
| Abs (US$) | (34.8) | (37.4) | (40.6) |

### 3Q26 review: profitability disappoints, but North American growth intact

HD Hyundai Electric posted 3Q26 consolidated sales of W1.18tn (+18.5% YoY, +3.3% QoQ) and OP of W284.5bn (+15.1% YoY, -0.9% QoQ; OPM 24.1%), broadly in line with our estimates. Power equipment sales fell 7.7% YoY to W542.3bn due to lower transformer sales to Europe. Profitability also weakened as lower-margin European orders secured in 2023 were recognized as revenue. Meanwhile, sales from power distribution equipment and new businesses rose 85.8% YoY to W325.1bn, driven by increased sales to domestic semiconductor customers and North American demand for power distribution equipment, alongside W125.0bn in revenue from the BESS project on Anjwa-do, Korea. As a result, the domestic share of revenue expanded from 22.5% in 2Q26 to 31.0%, while that of North America contracted from 47.5% to 38.0%, weighing on consolidated profitability. Won appreciation also exerted pressure. However, the North American business's operating margin improved for the third consecutive quarter, while prices on new orders continued to rise. We therefore do not view the decline in consolidated margins as a sign of weakening profitability in the core North American business.

### 2027 outlook: capacity expansion underscores Big Tech demand

We estimate 2027 sales at W5.61tn (+20.8% YoY) and OP at W1,563.7bn (+35.0% YoY; OPM 27.9%). The new ultra-high-voltage transformer plant in Ulsan will begin operating in November. With production stabilizing faster than initially expected, the firm is likely to fully utilize its additional annual capacity of 40-50 units in 2027, generating over W200bn in incremental annual sales. Distribution transformer orders from Big Tech are also beginning to translate into revenue. As individual purchase orders under the long-term supply agreement (LTA) signed with Company A in July have begun, full-year distribution transformer sales are expected to expand from W100-120bn to up to W300bn in 2027.

*(Continued on the next page)*

**Quarterly earnings**

| (Wbn) | 3Q26P | % YoY | % QoQ | Consens | vs consens (%) |
|---|---|---|---|---|---|
| Sales | 1,180 | 18.5 | 3.3 | 1,163 | 1.5 |
| OP | 285 | 15.1 | -0.9 | 305 | -6.7 |
| Pre-tax net profit | 241 | -3.8 | -13.6 | 304 | -20.9 |
| Net profit, CI | 183 | -4.1 | -11.3 | 230 | -20.4 |
| OPM (%) | 24.1 | -0.7 %pt | -1.0 %pt | 26.2 | -2.1 %pt |
| NPM (%) | 15.5 | -3.7 %pt | -2.6 %pt | 19.8 | -4.3 %pt |

Note: CI = controlling interest

**Forecasts and valuations (K-IFRS, consolidated)** (Wbn)

| FY ends Dec | 2024A | 2025A | 2026E | 2027E |
|---|---|---|---|---|
| **Sales** | 3,322 | 4,079 | 4,643 | 5,610 |
| OP | 669 | 995 | 1,159 | 1,564 |
| Net profit, CI | 502 | 733 | 882 | 1,185 |
| P/E (x) | 18.6 | 25.1 | 18.4 | 13.7 |
| P/B (x) | 6.2 | 9.0 | 6.1 | 4.6 |
| EV/EBITDA (x) | 12.5 | 16.5 | 12.1 | 8.6 |
| ROE (%) | 39.3 | 41.5 | 37.6 | 38.2 |

Source: Yuanta Securities

*For analyst certification and other important disclosures, refer to the Appendix at the end of this report.*

Capacity expansion plans to meet additional demand have also been finalized. The firm plans to invest W198bn in its Cheongju distribution campus to secure W250bn in additional annual distribution transformer capacity, to be completed in phases over 2028-2029. Following Phase 1 centered on medium- and low-voltage circuit brakers, this capacity expansion is focused on data center distribution transformers for North America. In particular, with existing orders alone expected to exceed available capacity by 2028, the new expansion should raise visibility on growing Big Tech demand going forward. Contrary to market concerns, we do not believe North America-bound distribution equipment will show a wide profitability gap with UHV transformers. Given product standardization of data center distribution transformers and efficiency gains from expanding production volumes, top-line growth of the distribution business is highly likely to lead to earnings growth.

### Higher earnings visibility, lower valuation expectations

We maintain BUY, but revise down our target price by 19.3% from W1,165,000 to W940,000. Reflecting lower market valuations from the recent pullback across the power equipment sector, we adjusted the target P/E to 23x, and applied 2028E EPS. We also factored in conservative assumptions for forex and consolidated revenue mix. However, unlike the share price correction, there sems to be no structural change in downstream demand. Order backlog as of end-3Q26 had increased to $8.84bn (+26.6% YoY), and new Big Tech LTAs with companies B, C, and D are expected to be finalized by late-November. Moreover, additional expansion for UHV transformers, high-voltage circuit breakers, and rotating equipment are also under review. We expect OP in 2027 to increase by 35.0% YoY, and believe investment attractiveness based on earnings growth and additional orders remains intact, despite the recent share price correction.

**HD Hyundai Electric: 3Q26 review** (Wbn)

| | 3Q26P | 3Q25 | YoY | 2Q26 | QoQ | Our est | Diff |
|---|---|---|---|---|---|---|---|
| Sales | 1,179.9 | 995.4 | 18.5% | 1,141.8 | 3.3% | 1,124.9 | 4.9% |
| OP | 284.5 | 247.1 | 15.1% | 287.0 | -0.9% | 299.1 | -4.9% |
| OPM | 24.1% | 24.8% | -0.7%p | 25.1% | -1.0%p | 26.6% | -2.5%p |

Source: Yuanta Securities

**Earnings forecast revision** (Wbn)

| | Old | | | New | | | Change | | |
|---|---|---|---|---|---|---|---|---|---|
| | 4Q26E | 2026E | 2027E | 4Q26E | 2026E | 2027E | 4Q26E | 2026E | 2027E |
| Sales | 1,269.2 | 4,572.4 | 5,453.9 | 1,284.4 | 4,642.6 | 5,609.9 | 1.2% | 1.5% | 2.9% |
| OP | 356.0 | 1,200.4 | 1,649.9 | 328.8 | 1,158.6 | 1,563.7 | -7.6% | -3.5% | -5.2% |
| OPM | 28.0% | 26.3% | 30.3% | 25.6% | 25.0% | 27.9% | -2.4%p | -1.3%p | -2.4%p |

Source: Yuanta Securities

**HD Hyundai Electric: earnings forecast** (Wbn)

| | 1Q25 | 2Q25 | 3Q25 | 4Q25 | 1Q26 | 2Q26 | 3Q26E | 4Q26E | 2025 | 2026E | 2027E |
|---|---|---|---|---|---|---|---|---|---|---|---|
| **Sales** | **1,014.7** | **906.2** | **995.4** | **1,163.2** | **1,036.5** | **1,141.8** | **1,179.9** | **1,284.4** | **4,079.5** | **4,642.6** | **5,609.9** |
| Power equipment | 463.7 | 484.0 | 587.8 | 525.0 | 564.0 | 535.9 | 542.3 | 561.8 | 2,060.5 | 2,204.0 | 2,857.1 |
| Rotating equipment | 166.8 | 146.0 | 143.4 | 132.5 | 184.8 | 159.9 | 167.1 | 146.0 | 588.7 | 657.8 | 731.3 |
| Distribution equipment | 179.2 | 192.3 | 175.0 | 185.4 | 135.9 | 231.2 | 325.1 | 246.8 | 731.9 | 939.0 | 1,074.9 |
| Subsidiaries/consol adj | 205.0 | 83.9 | 89.2 | 320.3 | 151.8 | 214.8 | 145.4 | 329.9 | 698.4 | 841.9 | 946.6 |
| ***% YoY*** | ***26.7%*** | ***-1.2%*** | ***26.2%*** | ***42.6%*** | ***2.2%*** | ***26.0%*** | ***18.5%*** | ***10.4%*** | ***22.8%*** | ***13.8%*** | ***20.8%*** |
| *Power* equipment | *46.1%* | *28.2%* | *87.7%* | *-9.6%* | *21.6%* | *10.7%* | *-7.7%* | *7.0%* | *29.7%* | *7.0%* | *29.6%* |
| *Rotating* equipment | *17.1%* | *4.2%* | *9.2%* | *7.5%* | *10.8%* | *9.5%* | *16.5%* | *10.2%* | *9.6%* | *11.7%* | *11.2%* |
| *Distribution* equipment | *-24.9%* | *-24.4%* | *0.1%* | *-7.3%* | *-24.2%* | *20.2%* | *85.8%* | *33.1%* | *-15.7%* | *28.3%* | *14.5%* |
| *Subsidiaries/consol adj* | *99.8%* | *-42.1%* | *-47.3%* | *TTB* | *-25.9%* | *156.0%* | *62.9%* | *3.0%* | *112.5%* | *20.5%* | *12.4%* |
| **% of sales** | | | | | | | | | | | |
| Power equipment | 45.7% | 53.4% | 59.0% | 45.1% | 54.4% | 46.9% | 46.0% | 43.7% | 50.5% | 47.5% | 50.9% |
| Rotating equipment | 16.4% | 16.1% | 14.4% | 11.4% | 17.8% | 14.0% | 14.2% | 11.4% | 14.4% | 14.2% | 13.0% |
| Distribution equipment | 17.7% | 21.2% | 17.6% | 15.9% | 13.1% | 20.2% | 27.6% | 19.2% | 17.9% | 20.2% | 19.2% |
| Subsidiaries/consol adj | 20.2% | 9.3% | 9.0% | 27.5% | 14.6% | 18.8% | 12.3% | 25.7% | 17.1% | 18.1% | 16.9% |
| **OP** | **218.2** | **209.1** | **247.1** | **320.9** | **258.3** | **287.0** | **284.5** | **328.8** | **995.3** | **1,158.6** | **1,563.7** |
| *% YoY* | *69.4%* | *-0.4%* | *50.8%* | *93.0%* | *18.4%* | *37.2%* | *15.1%* | *2.5%* | *48.8%* | *16.4%* | *35.0%* |
| % OPM | 21.5% | 23.1% | 24.8% | 27.6% | 24.9% | 25.1% | 24.1% | 25.6% | 24.4% | 25.0% | 27.9% |

Note: TTB = turn to black
Source: Yuanta Securities

**UHV transformer peers: valuation** (Wbn, $mn, JPYbn, EURmn)

| | | HD Hyundai Electric | LS Electric | Hyosung Heavy Ind | Sanil Electric | Iljin Electric | PWR | GEV | HUBB | Hitachi | Siemens Energy |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Market cap | | **16,221** | 23,715 | 17,847 | 4,909 | 2,694 | 84,783 | 227,747 | 24,271 | 25,640 | 106,054 |
| Sales | 2025 | **4,080** | 4,966 | 5,969 | 502 | 2,045 | 28,480 | 38,068 | 5,845 | 10,587 | 39,077 |
| | 2026E | **4,643** | 6,879 | 7,221 | 663 | 2,371 | 39,573 | 46,302 | 6,872 | 11,857 | 44,204 |
| | 2027E | **5,610** | 9,618 | 9,748 | 885 | 2,522 | 45,773 | 53,053 | 7,541 | 12,920 | 50,632 |
| | 2028E | **6,546** | 11,260 | 12,707 | 1,177 | 2,663 | 51,945 | 60,954 | 7,984 | 13,947 | 57,249 |
| OP | 2025 | **995** | 426 | 747 | 179 | 151 | 1,612 | 1,388 | 1,209 | 1,132 | 2,149 |
| | 2026E | **1,159** | 787 | 1,068 | 249 | 254 | 2,637 | 4,394 | 1,575 | 1,472 | 5,183 |
| | 2027E | **1,564** | 1,319 | 1,774 | 338 | 285 | 3,241 | 7,994 | 1,801 | 1,699 | 7,241 |
| | 2028E | **1,910** | 1,732 | 2,641 | 446 | 314 | 3,861 | 11,425 | 1,929 | 1,963 | 9,372 |
| OPM (%) | 2025 | **24.4%** | 8.6% | 12.5% | 35.6% | 7.4% | 5.7% | 3.6% | 20.7% | 10.7% | 5.5% |
| | 2026E | **25.0%** | 11.4% | 14.8% | 37.6% | 10.7% | 6.7% | 9.5% | 22.9% | 12.4% | 11.7% |
| | 2027E | **27.9%** | 13.7% | 18.2% | 38.2% | 11.3% | 7.1% | 15.1% | 23.9% | 13.2% | 14.3% |
| | 2028E | **29.2%** | 15.4% | 20.8% | 37.9% | 11.8% | 7.4% | 18.7% | 24.2% | 14.1% | 16.4% |
| Net profit, CI | 2025 | **733** | 287 | 520 | 149 | 104 | 1,028 | 4,884 | 887 | 802 | 1,414 |
| | 2026E | **882** | 603 | 671 | 213 | 178 | 2,560 | 6,843 | 1,091 | 961 | 3,822 |
| | 2027E | **1,185** | 1,020 | 1,150 | 288 | 205 | 2,997 | 6,590 | 1,218 | 1,145 | 5,309 |
| | 2028E | **1,446** | 1,315 | 1,976 | 376 | 250 | 3,591 | 9,216 | 1,333 | 1,322 | 6,797 |
| P/E (x) | 2025 | **38.1** | 48.2 | 31.9 | 26.6 | 25.0 | 57.3 | 35.9 | 26.3 | 25.3 | 61.0 |
| | 2026E | **18.4** | 39.4 | 26.6 | 23.0 | 15.2 | 33.1 | 33.3 | 22.3 | 26.7 | 27.8 |
| | 2027E | **13.7** | 23.3 | 15.5 | 17.1 | 13.2 | 28.3 | 34.6 | 19.9 | 22.4 | 20.0 |
| | 2028E | **11.2** | 18.0 | 9.0 | 13.1 | 10.8 | 23.6 | 24.7 | 18.2 | 19.4 | 15.6 |

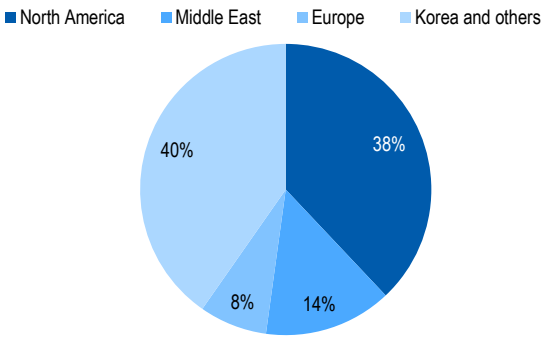
Note: CI = controlling interest; Korean firms are our estimates; market cap as of Oct 27, 2026
Source: Bloomberg, Yuanta Securities

**HD Hyundai Electric: valuation**

| | Value | Note |
|---|---|---|
| 2027E EPS (won) | 40,123 | (a) |
| Target P/E (x) | 23.4 | (b), 5% discount to global top tier peer |
| Value per share (won) | 938,878 | (c)=(a)*(b) |
| Target price (won) | 940,000 | - |
| Current price (won) | 450,000 | Close price on Oct 27, 2026 |
| Upside (%) | 109 | - |

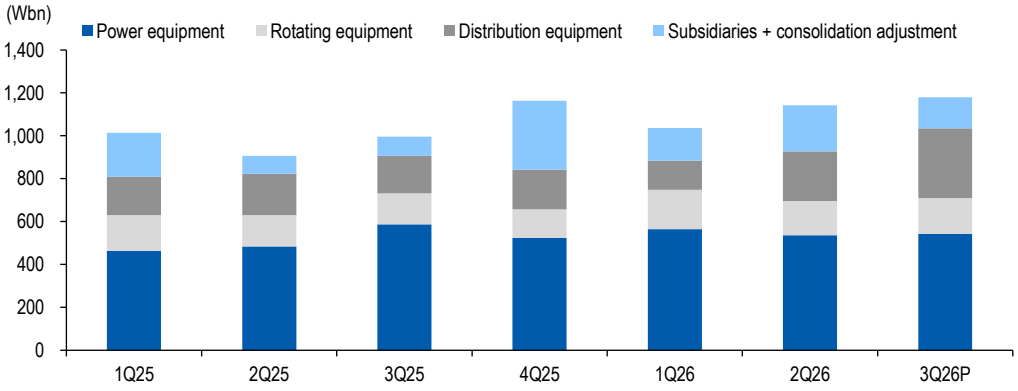
Source: Yuanta Securities

**HD Hyundai Electric: 3Q26 revenue breakdown by region**



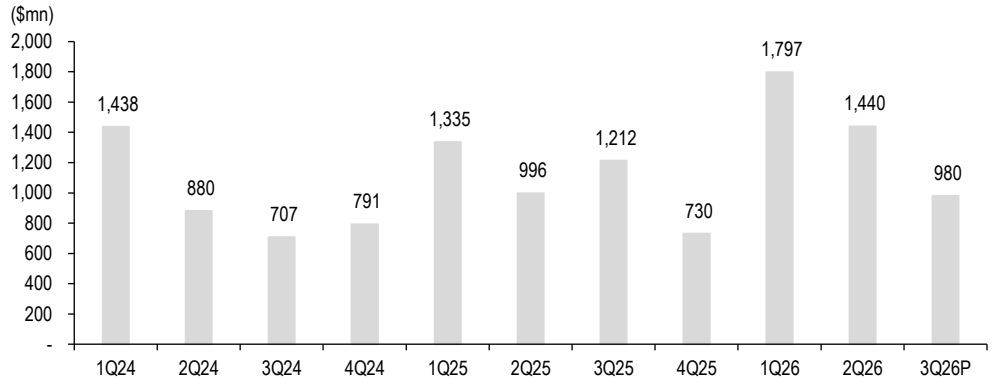

Source: company data, Yuanta Securities

**HD Hyundai Electric: revenue breakdown by business**



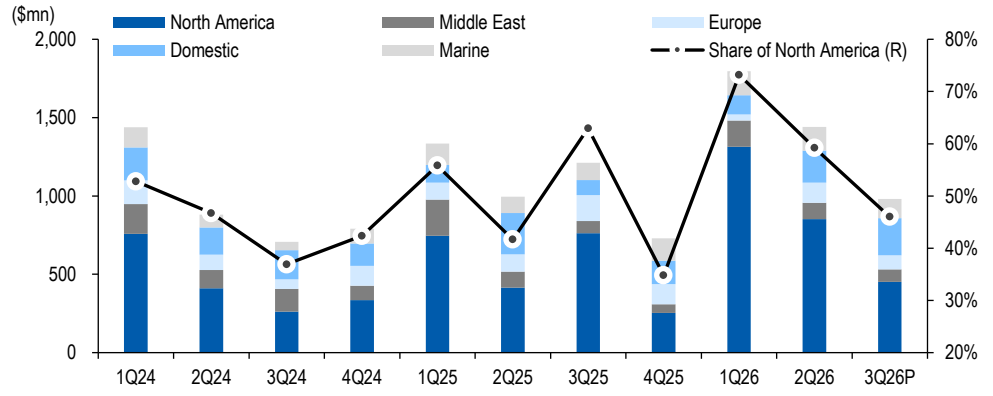

Source: company data, Yuanta Securities

**HD Hyundai Electric: quarterly new orders**



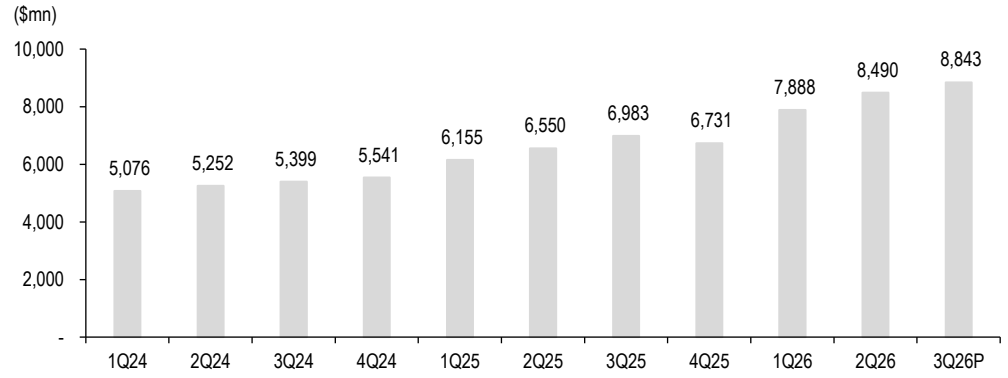

Source: company data, Yuanta Securities

**HD Hyundai Electric: new orders by region and share of North America**



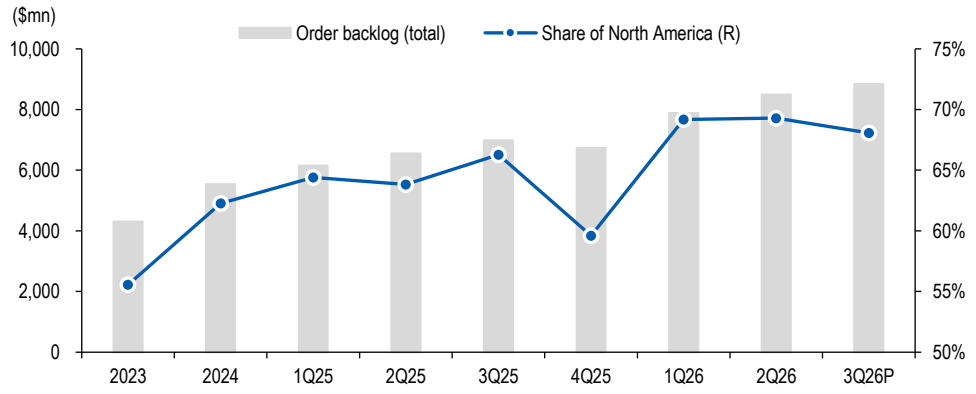

Source: company data, Yuanta Securities

**HD Hyundai Electric: order backlog**



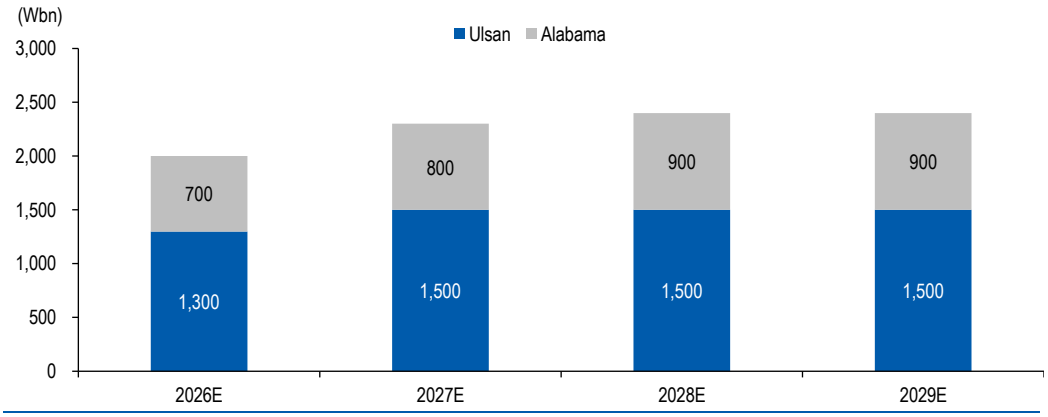

Source: company data, Yuanta Securities

**HD Hyundai Electric: share of North America in order backlog**




Source: company data, Yuanta Securities

**HD Hyundai Electric: UHV capacity and forecast**




Note: productivity-adjusted estimate
Source: company data, Yuanta Securities

## HD Hyundai Electric (267260 KS) pro forma financial statements (K-IFRS, consolidated)

### Statement of comprehensive income

| FY ends Dec (Wbn) | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| **Sales** | **3,322** | **4,079** | **4,643** | **5,610** | **6,546** |
| Cost of sales | 2,278 | 2,687 | 3,053 | 3,518 | 3,983 |
| Gross profit | 1,045 | 1,393 | 1,590 | 2,092 | 2,563 |
| SG&A | 376 | 398 | 431 | 528 | 653 |
| **Operating profit** | **669** | **995** | **1,159** | **1,564** | **1,910** |
| EBITDA | 734 | 1,069 | 1,234 | 1,651 | 1,999 |
| Non-operating profit | -19 | -39 | 16 | 22 | 51 |
| Forex gains | 85 | -30 | 50 | 20 | 20 |
| Net interest income | -16 | 8 | 26 | 47 | 78 |
| Equity-method gains | 0 | 0 | 0 | 0 | 0 |
| Other | -88 | -17 | -60 | -45 | -47 |
| Net prof before income tax | 650 | 956 | 1,175 | 1,586 | 1,961 |
| Income tax | 152 | 225 | 294 | 402 | 517 |
| Net profit from continuing ops | 498 | 732 | 881 | 1,184 | 1,445 |
| Net profit from discontinued ops | 0 | 0 | 0 | 0 | 0 |
| Net profit | 498 | 732 | 881 | 1,184 | 1,445 |
| **NP for controlling interest** | **502** | **733** | **882** | **1,185** | **1,446** |
| Total comprehensive income | 522 | 748 | 911 | 1,187 | 1,447 |
| Total comprehensive income, CI | 526 | 748 | 910 | 1,186 | 1,447 |

### Statement of financial position

| FY ends Dec (Wbn) | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| **Current assets** | **2,764** | **3,426** | **4,335** | **5,706** | **7,419** |
| Cash & cash equivalents | 570 | 951 | 1,519 | 2,303 | 3,449 |
| Accounts receivables & other | 831 | 772 | 877 | 1,060 | 1,237 |
| Inventory | 1,081 | 1,267 | 1,441 | 1,742 | 2,032 |
| Non-current assets | 1,032 | 1,344 | 1,414 | 1,517 | 1,499 |
| Tangible assets | 730 | 943 | 995 | 1,112 | 1,140 |
| Investment in affiliates | 0 | 0 | 0 | 0 | 0 |
| Other investment assets | 6 | 9 | 9 | 9 | 10 |
| **Total assets** | **3,796** | **4,770** | **5,749** | **7,222** | **8,918** |
| Current liabilities | 2,001 | 2,549 | 2,881 | 3,453 | 4,006 |
| Accounts payable & other | 501 | 608 | 692 | 836 | 976 |
| ST financial liabilities | 20 | 19 | 19 | 19 | 19 |
| Liquid LT liabilities | 107 | 120 | 120 | 120 | 120 |
| Non-current liabilities | 287 | 188 | 205 | 215 | 235 |
| LT financial liabilities | 30 | 0 | 0 | 0 | 0 |
| Debentures | 137 | 47 | 62 | 67 | 72 |
| **Total liabilities** | **2,288** | **2,737** | **3,086** | **3,668** | **4,240** |
| Equity, controlling interest | 1,502 | 2,029 | 2,660 | 3,553 | 4,678 |
| Paid-in capital | 180 | 180 | 180 | 180 | 180 |
| Capital surplus | 402 | 402 | 402 | 402 | 402 |
| Retained earnings | 816 | 1,323 | 1,924 | 2,814 | 3,937 |
| Equity, non-controlling interest | 6 | 4 | 3 | 2 | 0 |
| **Total equity** | **1,508** | **2,033** | **2,663** | **3,555** | **4,678** |
| **Net debt** | **-204** | **-700** | **-1,263** | **-2,054** | **-3,198** |
| Total debt | 400 | 274 | 283 | 281 | 288 |

### Cash flow statement

| FY ends Dec (Wbn) | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| **Operating cash flow** | **1,034** | **960** | **960** | **1,146** | **1,420** |
| Net profit | 498 | 732 | 881 | 1,184 | 1,445 |
| Depreciation & amortization | 57 | 65 | 68 | 80 | 82 |
| Forex gains | 0 | 0 | -50 | -20 | -20 |
| Affiliate investment gains | 0 | 0 | 0 | 0 | 0 |
| Increase in net working cap | 361 | 193 | 37 | -121 | -109 |
| Other | 117 | -31 | 24 | 24 | 23 |
| **Investing cash flow** | **-143** | **-226** | **-126** | **-206** | **-119** |
| Investment | 0 | 1 | 0 | -1 | -1 |
| Increase in tangible assets | -122 | -234 | -120 | -197 | -110 |
| Decrease in tangible assets | 0 | 1 | 0 | 0 | 0 |
| Other | -21 | 6 | -6 | -8 | -8 |
| **Financing cash flow** | **-518** | **-350** | **-275** | **-300** | **-319** |
| ST financial liabilities | -274 | -28 | 5 | 8 | 7 |
| Debenture/LT financial liabilities | -71 | -98 | 5 | -10 | 0 |
| Equity | 0 | 0 | 0 | 0 | 0 |
| Cash dividend | -76 | -221 | -281 | -295 | -324 |
| Other cash flow | -97 | -3 | -3 | -3 | -3 |
| Consolidation adj and other | 21 | -3 | 9 | 144 | 163 |
| **Increase in cash & equivalents** | **394** | **381** | **569** | **784** | **1,146** |
| Beginning cash & equivalents | 176 | 570 | 951 | 1,519 | 2,303 |
| Ending cash & equivalents | 570 | 951 | 1,519 | 2,303 | 3,449 |
| **NOPLAT** | 669 | 995 | **1,159** | **1,564** | **1,910** |
| **FCF** | **912** | **726** | **840** | **949** | **1,310** |

### Valuation

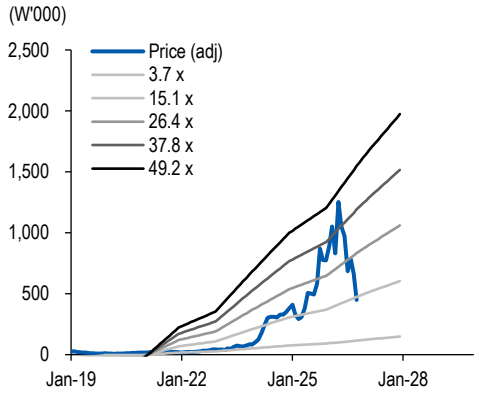
| FY ends Dec | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| EPS (won) | 13,914 | 20,324 | 24,467 | 32,883 | 40,123 |
| BPS (won) | 41,725 | 56,366 | 73,896 | 98,703 | 129,961 |
| EBITDA/shr (won) | 20,368 | 29,656 | 34,231 | 45,788 | 55,441 |
| SPS (won) | 92,167 | 113,171 | 128,793 | 155,627 | 181,601 |
| DPS (won) | 5,350 | 7,100 | 8,100 | 8,700 | 9,500 |
| **P/E (x)** | **18.6** | **25.1** | **18.4** | **13.7** | **11.2** |
| **P/B (x)** | **6.2** | **9.0** | **6.1** | **4.6** | **3.5** |
| **EV/EBITDA (x)** | **12.5** | **16.5** | **12.1** | **8.6** | **6.5** |
| **P/S (x)** | **2.8** | **4.5** | **3.5** | **2.9** | **2.5** |

### Key financial data

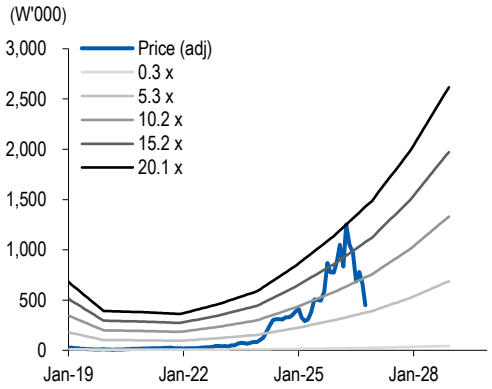
| FY ends Dec | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| **Sales (% YoY)** | **22.9** | **22.8** | **13.8** | **20.8** | **16.7** |
| **Operating profit (%YoY)** | **112.2** | **48.8** | **16.4** | **35.0** | **22.2** |
| **Net profit, CI (%YoY)** | **93.5** | **46.1** | **20.4** | **34.4** | **22.0** |
| Gross margin (%) | 31.4 | 34.1 | 34.2 | 37.3 | 39.2 |
| **Operating margin (%)** | **20.1** | **24.4** | **25.0** | **27.9** | **29.2** |
| Net margin, CI (%) | 15.1 | 18.0 | 19.0 | 21.1 | 22.1 |
| EBITDA margin (%) | 22.1 | 26.2 | 26.6 | 29.4 | 30.5 |
| ROIC (%) | 40.1 | 68.5 | 77.3 | 98.1 | 111.5 |
| ROA (%) | 15.0 | 17.1 | 16.8 | 18.3 | 17.9 |
| **ROE (%)** | **39.3** | **41.5** | **37.6** | **38.2** | **35.1** |
| Debt-to-equity (%) | 151.8 | 134.6 | 115.9 | 103.2 | 90.6 |
| Net debt-to-equity (%) | -13.6 | -34.5 | -47.5 | -57.8 | -68.4 |
| OP/financing cost (x) | 22.6 | 59.3 | 83.5 | 111.3 | 134.7 |

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

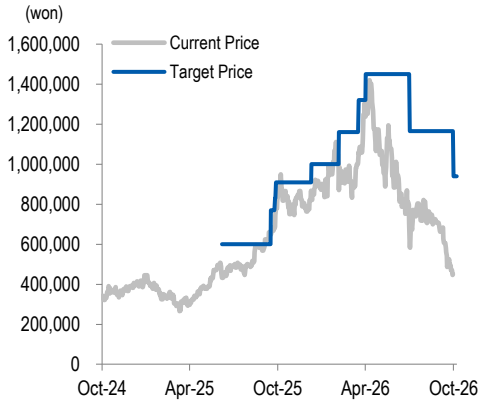
**P/E band chart**




**P/B band chart**




**HD Hyundai Electric (267260 KS) ratings and target price history**




| Date | Rating | TP (won) | TP time frame | Difference (%) | |
|---|---|---|---|---|---|
| | | | | vs avg price | vs high (low) |
| 2026/10/28 | BUY | 940,000 | 1 yr | | |
| 2026/07/29 | BUY | 1,165,000 | 1 yr | -41.62 | -29.53 |
| 2026/04/29 | BUY | 1,450,000 | 1 yr | -29.50 | -2.07 |
| 2026/04/14 | BUY | 1,320,000 | 1 yr | -13.80 | -1.06 |
| 2026/03/04 | BUY | 1,160,000 | 1 yr | -19.42 | -13.19 |
| 2026/01/06 | BUY | 1,000,000 | 1 yr | -7.10 | 11.10 |
| 2025/10/24 | BUY | 910,000 | 1 yr | -9.47 | 4.29 |
| 2025/10/22 | BUY | 830,000 | 1 yr | -10.12 | -10.12 |
| 2025/10/14 | BUY | 770,000 | 1 yr | -12.23 | -11.04 |
| 2024/05/10 | Not Rated | - | 1 yr | | |

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

| Rating | Share (%) |
|---|---|
| STRONG BUY | 0 |
| BUY | 96.9 |
| HOLD | 3.1 |
| SELL | 0 |
| Total | 100.0 |

Note: As of Oct 28, 2026 Excluding reports written or published by overseas affiliates

## Appendix: Important disclosures

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I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  **- Buy:** Expected to return between 15% and 30%
  **- Hold:** Expected to return between -15 and +15%
  **- Sell:** Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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